

bet.

Trade with market trend. Let the smart money trade against the prevailing trend. You should follow in their footsteps only after they have cleared a path through the landmines. In other words, trade with the general market trend. Buy bullish chart patterns (like double bottoms) in a rising stock market. Avoid going long in bear markets.

Check others in the industry. If other stocks in the same industry are doing well, then that bolsters the case that your double bottom will break out upward, reversing the downward price trend. If other stocks in the same industry are showing bullish bottoming patterns or if their stock price is rising, then trade the double bottom.

If price in other stocks is breaking down, making lower lows, then look elsewhere for a more promising situation. Double bottoms are plentiful. Keep searching.

Stop location. [Table 29.7](#) can help with stop placement. Be sure to convert the potential loss as a function of the current price into a percentage. Try not to gasp if the result is big. You'll wake the baby.

[Table 29.11](#) shows special performance features of double bottoms.

Bottom-to-bottom variation. Do double bottoms with small price variations in their bottom lows perform better than do those with large variations? No. Large variations see better performance than small ones.

[Table 29.11](#) Special Features

Trading Tactic	Performance
Small bottom-to-bottom variation	47%
Large variation	53%
Median bottom-to-bottom variation	1%
Lower left bottom	51%
Lower right bottom	49%

To get this result, I computed the price difference between the bottoms of each double bottom and then found the median of all patterns studied.